

1. MC.01.40

Managerial accounting, as opposed to financial accounting, is primarily concerned with



- ☐ a. providing information for investors and creditors.
- ☐ b. the financial condition of the organization as a whole.
- ☒ c. emphasizing the future.
- ☐ d. meeting the requirements of generally accepted accounting principles.

Feedback

Check My Work
Correct
Post-Submission

Managerial accounting is the provision of accounting information for a company's internal users. More specifically, managerial accounting represents the firm's internal accounting system designed to provide the necessary financial and nonfinancial information that helps company managers make the best possible decisions.

2. MC.01.41

Which of the following is not an objective of managerial accounting?



- ☐ a. To provide information for effective decision making by the management of a company
- ☐ b. To provide information for evaluating and continuously improving an organization's actions
- ☒ c. To produce information for external users, including investors, creditors, customers, suppliers, and government
- ☐ d. To provide information for planning an organization's actions

Feedback

Check My Work
Correct
Post-Submission

Managerial accounting has three broad objectives:

- To provide information for planning the organization's actions.
- To provide information for controlling the organization's actions.
- To provide information for making effective decisions.

3. MC.01.42

Which of the following items is an example of the management activity referred to as planning?



- ☒ a. Developing a strategy for disposing of hazardous waste
- ☐ b. Ensuring that the most competent candidates are recruited by a company
- ☐ c. Tracking the cost of employee absence
- ☐ d. All of these are correct.

Feedback

Check My Work
Correct
Post-Submission

The detailed formulation of action to achieve a particular end is the management activity called planning. Planning requires setting objectives and identifying methods to achieve those objectives. Hence, developing a strategy for disposing of hazardous waste is a

planning activity.

4. MC.01.43

The detailed formulation of action to achieve a particular end is the management activity called:

- 
- ☒

a. planning.
- ☐

b. decision making.
- ☐

c. controlling.
- ☐

d. All of these are correct.

Feedback

Check My Work
Correct
Post-Submission

The detailed formulation of action to achieve a particular end is the management activity called planning.

5. MC.01.44

Investigating production variances and adjusting the production process are examples of:

- 
- ☐

a. planning.
- ☐

b. decision making.
- ☒

c. controlling.
- ☐

d. All of these are correct.

Feedback

Check My Work
Correct
Post-Submission

The managerial activity of monitoring a plan's implementation and taking corrective action as needed is referred to as controlling. Control is usually achieved by comparing actual performance with expected performance. This information can be used to evaluate or to correct the steps being taken to implement a plan. Investigating production variances and adjusting the production process are examples of controlling.

6. MC.01.45

The primary objective of managerial accounting is:

- 
- ☐

a. to produce information for external users, including investors, creditors, customers, suppliers, and government agencies.
- ☒

b. to provide management with financial and nonfinancial information useful in planning, controlling, and decision making.
- ☐

c. to provide the Internal Revenue Service with financial and nonfinancial information about the taxable income of the company.
- ☐

d. to produce financial information that must comply with various accounting standards.

Feedback

Check My Work
Correct
Post-Submission

Managerial accounting identifies, collects, measures, classifies, and reports financial and nonfinancial information that is useful to internal users in planning, controlling, and decision making.

7. MC.01.46

Which of the following statements is true of managerial accounting?

- ☐

a. Managerial accounting is subject to rules for external financial reporting.
- ☐

b. Managerial accounting provides historical information.
- ☐

c. Managerial accounting is the provision of accounting information for a company's external users.
- ✓

☒

d. Managerial accounting attempts to provide information for controlling the organization's actions.

Feedback

Check My Work
Correct
Post-Submission

Managerial accounting identifies, collects, measures, classifies, and reports financial and nonfinancial information that is useful to internal users in planning, controlling, and decision making.

8. MC.10.47

Managerial accounting reports are prepared:

- ☐

a. to provide creditors with information useful in making credit decisions.
- ☐

b. to present historical information.
- ✓

☒

c. to meet the needs of decision makers within a firm.
- ☐

d. All of these are correct.

Feedback

Check My Work
Correct
Post-Submission

The managerial accounting system produces information for internal users, such as managers, executives, and workers.

9. MC.01.48

Which of the following statements is true of financial accounting?

- ☐

a. Financial accounting is subject to externally imposed rules.
- ☐

b. Financial accounting provides information that can be objectively verified and audited.
- ☐

c. Financial accounting is directed toward external users.
- ✓

☒

d. All of these are correct.

Feedback

Check My Work
Correct
Post-Submission

Financial accounting is primarily concerned with producing financial statements for external users, including investors, creditors, customers, suppliers, and government agencies. Financial statements must conform to certain rules and conventions that are defined by various agencies, such as the Securities and Exchange Commission (SEC), the Financial Accounting Standards Board (FASB), and the International Accounting Standards Board (IASB).

10. MC.01.49

Which of the following statements is true of managerial accounting?

- ☐

a. Managerial accounting reports must adhere to Generally Accepted Accounting Principles (GAAP).

- ✓ ☐ b. Managerial accounting focuses on providing information that is useful to external stakeholders.
- ☐ c. Managerial accounting provides information that is most useful to managers, employees, and other internal stakeholders.
- ☐ d. Managerial accounting reports must be prepared on a regularly set schedule, such as at the end of each quarter.

Feedback

Check My Work
Correct
Post-Submission

Managerial accounting provides information that is most useful to managers, employees, and other internal stakeholders.

11. MC.01.50

Which of the following is true of financial accounting?

- ✓ ☐ a. Financial accounting focuses on providing information that is useful to external stakeholders.
- ☐ b. Financial accounting reports must adhere to Generally Accepted Accounting Principles (GAAP).
- ☐ c. Financial accounting reports must be prepared on a regularly set schedule, such as at the end of each quarter.
- ✓ ☒ d. All of the above.

Feedback

Check My Work
Correct
Post-Submission

Financial accounting reports must adhere to Generally Accepted Accounting Principles (GAAP), focuses on providing information that is useful to external stakeholders, and must be prepared on a regularly set schedule, such as at the end of each quarter.

12. MC.01.51

Which of the following items would not be an example of a value-added activity?

- ✓ ☒ a. Storage of finished products
- ☐ b. Customers being offered a variety of products
- ☐ c. Timely delivery of products
- ☐ d. Excellent customer service

Feedback

Check My Work
Correct
Post-Submission

The value chain is the set of activities required to design, develop, produce, market, and deliver products and services, as well as provide support services to customers. Firms deliver products or services quickly by eliminating non-value-added time, which is time of no value to the customer. Storage of finished goods is not a value-added activity.

13. MC.01.52

Which of the following statements is true of total quality management?

- ☐ a. It is a management philosophy in which manufacturers strive to create an environment that will enable workers to produce zero-defect products.
- ☐ b. It has replaced the acceptable quality attitudes of the past.
- ☐ c. It emphasizes the elimination of waste.
- ✓ ☒ d. All of these are correct.

Check My Work
Correct
Post-Submission

A philosophy of total quality management, in which manufacturers strive to create an environment that will enable workers to manufacture zero-defect products, has replaced the acceptable quality attitudes of the past. Total quality management emphasizes elimination of waste.

14. MC.01.53

Activity-based costing:

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a. was established in response to financial scandals.

☒

b. emphasizes the cost of tasks required to produce a product or offer a service.

☐

c. is the process of choosing among competing alternatives.

☐

d. strives to create an environment that will enable workers to manufacture zero-defect products.

Check My Work
Correct
Post-Submission

Activity-based costing (ABC) is a detailed approach to determining the cost of goods and services. ABC improves costing accuracy by emphasizing the cost of the many activities or tasks that must be done to produce a product or offer a service.

15. MC.01.54

Data analytics:

☐

a. includes three types of analytics: descriptive, diagnostic, and predictive.

☐

b. refers to graphical or other presentations of data to improve their interpretation.

☒

c. refers to gathering and analyzing data to improve decision making.

☐

d. refers to ensuring data integrity and security.

Check My Work
Correct
Post-Submission

Data analytics refers to gathering and analyzing data to improve decision making.

16. MC.01.55

Which of the following would normally hold a line position?

☒

a. General manager

☐

b. Purchasing manager

☐

c. Cost accountant

☐

d. Staff accountant

Check My Work
Correct
Post-Submission

The managers in line positions are the ones who set policy and make the decisions that impact the company. A general manager normally would hold a line position.

17. MC.01.56

Which of the following members of an organization would normally hold a staff position?

-  ☐ a. Head of security
- ☐ b. Accounting manager
- ☐ c. Customer service executive
- ☒ d. All of these are correct.

Feedback

Check My Work
Correct
Post-Submission

Positions that are supportive in nature and have only indirect responsibility for an organization's basic objectives are called staff positions. The head of security, the accounting manager, and a customer service executive normally would hold a staff position.

18. MC.01.57

Which of the following would occupy a line position in a hospital?

-  ☒ a. Chief of surgery
- ☐ b. Cafeteria manager
- ☐ c. Hospital administrator
- ☐ d. None of these are correct.

Feedback

Check My Work
Correct
Post-Submission

Positions that have direct responsibility for the basic objectives of an organization are referred to as line positions. For example, in a hospital, the chief of surgery would hold a line position.

19. MC.01.58

The controller of an organization participates in:

-  ☐ a. decision making.
- ☐ b. controlling.
- ☐ c. planning.
- ☒ d. All of these are correct.

Feedback

Check My Work
Correct
Post-Submission

Because of the critical role that managerial accounting plays in the operation of an organization, the controller is often viewed as a member of the top management team and is encouraged to participate in planning, controlling, and decision-making activities.

20. MC.01.59

Which of the following general positions in an organizational chart would be at the highest level?



- ☐ a. Salesperson
- ☐ b. Vice President of Operations
- ☒ c. General Manager/Chief Operating Officer
- ☐ d. Administrative Assistant

Feedback

Check My Work
Correct
Post-Submission

In an organizational chart, the highest position would be the General Manager/Chief Operating Officer, followed by the Vice President of Operations, followed by a Salesperson, followed by an Administrative Assistant.

21. MC.01.60

Which of the following statements is true of profit maximization?



- ☒ a. Profit maximization should be achieved through legal and ethical means.
- ☐ b. Profit maximization results in maximum cost to and maximum production by a company.
- ☐ c. Profit maximization is an objective of financial accounting but not managerial accounting.
- ☐ d. Profit maximization is achieved by considering the financial measures focused only on efficiency.

Feedback

Check My Work
Correct
Post-Submission

The objective of profit maximization should be constrained by the requirement that profits be achieved through legal and ethical means.

22. MC.01.61

The standards of ethical conduct for managerial accountants include:



- ☐ a. confidentiality, confidence, integrity, and observance.
- ☐ b. caring for others, intuition, and respect for others.
- ☒ c. competence, confidentiality, integrity, and credibility.
- ☐ d. pursuit of excellence, credibility, and immediacy.

Feedback

Check My Work
Correct
Post-Submission

Both the AICPA and IMA stress the importance of competence, confidentiality, integrity, and credibility or objectivity.

23. MC.01.62

The IMA Statement of Ethical Professional Practice defines one aspect of competence as:

- ☐ a. mitigating conflicts of interest.

- ☐ b. contributing to a positive ethical culture.
- ☐ c. communicating information fairly and objectively.
- ☒ d. recognizing and helping to manage risk.

Feedback

Check My Work
Correct
Post-Submission

The IMA Statement of Ethical Professional Practice defines competence as maintaining an appropriate level of professional leadership and expertise by enhancing knowledge and skills; performing professional duties in accordance with relevant laws, regulations, and technical standards; providing decision support information and recommendations that are accurate, clear, concise, and timely; and recognizing and helping to manage risk.

24. MC.01.63

Which of the following areas is not emphasized by the Certified Management Accountant (CMA) examination?

- ☒ a. External auditing and internal control
- ☐ b. Economics, finance, and management
- ☐ c. Decision analysis and information systems
- ☐ d. Management reporting, analysis, and behavioral issues

Feedback

Check My Work
Correct
Post-Submission

The following four areas are emphasized by the CMA examination:

- Economics, finance, and management
- Financial accounting and reporting
- Management reporting, analysis, and behavioral issues
- Decision analysis and information systems

25. MC.01.64

Accountants that have a Certificate in Public Accounting (CPA):

- ☐ a. are the only accountants permitted to serve as external auditors.
- ☐ b. must pass a national examination and be licensed by the state in which they practice.
- ☐ c. are responsible for assuring the reliability of a firm's financial statements.
- ☒ d. All of these are correct.

Feedback

Check My Work
Correct
Post-Submission

The responsibility of auditors is to provide assurance concerning the reliability of a firm's financial statements. Only a Certified Public Accountant (CPA) is permitted by law to serve as an external auditor. CPAs must pass a national examination and be licensed by the state in which they practice.

26. MC.01.65

In the United States, individuals who provide assurance service are designated as:



- ☐ a. Certified Financial Accountants.
- ☒ b. Certified Public Accountants.
- ☐ c. Certified Management Accountants.
- ☐ d. Chartered Accountants.

Feedback

Check My Work
Correct
Post-Submission

Only a Certified Public Accountant (CPA) is permitted by law to serve as an external auditor. Auditors' responsibility is to assure the reliability of a firm's financial statements. CPAs must pass a national examination and be licensed by the state in which they practice.

27. MC.01.66

One part of the Certified Management Accountant (CMA) qualifying examination that must be passed is:



- ☐ a. information systems and controls.
- ☒ b. strategic financial management.
- ☐ c. risk management.
- ☐ d. business analysis and reporting.

Feedback

Check My Work
Correct
Post-Submission

The Certified Management Accountant (CMA) qualifying examination has three parts: financial planning, performance, and analytics and strategic financial management.